Capital Capacity Assessment

for Midea Group's Sustainable Product Line Investment

Strategic Analytics Consulting Team

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Part One - Introduction

Background, Motivation & Research Question

- Background Overview
- Motivation
- Research Question

Nan Qin

Background Overview



Midea Group

- One of China’s largest and most influential home appliance manufacturers
- established in 1981
- Entering the air-conditioning industry in 1985
- Achieving its first 1 billion RMB in sales in 1988
- Surpassing 100 billion RMB in revenue by 2010

Midea Growth

- Ranks 15th in the 2024 Hurun China 500
- Ranks 236th in the 2024 Global Brand Value 500
- Ranks 63rd in the 2025 Fortune China 500
- In September 2024, Midea was also listed on the main board of the Hong Kong Stock Exchange

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Midea Business

- Smart home appliances
- Building technologies
- Industrial automation
- Robotics
- Other innovative fields.

Midea Finance

Four consecutive years of growth in revenue, operating profit, and net profit from 2021 to 2024

Motivation

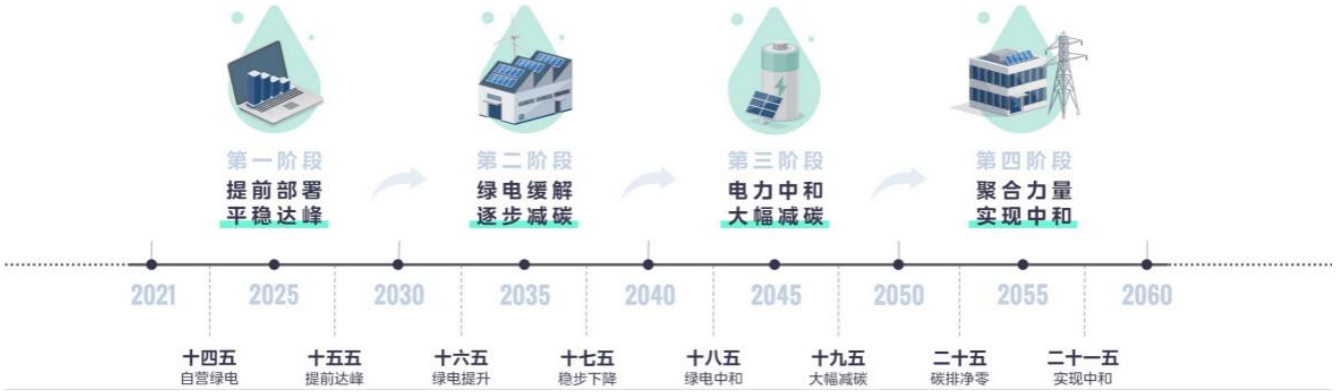
A Climate Change

Global push toward sustainability

B China's National Policy

20th Party Congress report and the 2025 Government Work Report

“actively and steadily pursue carbon peaking and carbon neutrality”



C International Market's Tightening

- EU’s Eco-design standards
- CE requirements
- RoHS restrictions

D Midea's Initiatives

- Zero-carbon factory
- Comprehensive green strategy covering design, procurement, manufacturing logistics, recycling and services

E Competitors

- **Haier**
- **Gree**

Haier & Gree



"6-Green" strategy



GREE

"Zero-Carbon Healthy Home" solutions



Question

Futural Plan

Developing new environmentally sustainable product lines

Not only support ESG compliance but also create a new driver of long-term revenue growth



Futural Goal

Whether Midea has enough capital will determine whether the company can:

· Maintain competitiveness in global markets

· Enhance brand value through ESG performance

· Reduce export risks related to environmental regulations

Capital Resources

· R&D spending

· Manufacturing upgrades

· Green supply chain investment

· Certification costs

Midea
Japan R&D Center

Research Question

Does Midea have adequate capital resources to support investment and production in a new environmentally sustainable product line?



Part Two - Financial Data Analysis

Assessing Midea's Capital Capacity from Three Dimensions

- Investment Efficiency — ROI & Net Profit
- Profitability & Capital Structure — ALR, GPM & NPR
- Liquidity Strength — AR Turnover

Qinming Yang
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Midea – ROI & Net Profit Analysis (2022-2024)

——Assessing Midea's Capacity for Sustainable Product Investment

Qinming Yang

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Sub-question 1:

Does Midea generate enough internal profit and maintain efficient capital returns to fund long-term sustainable product investment?



Background & Approach

Why This Analysis Matters?

- Sustainable product development is not a one-time investment.
- It requires long-term, stable internal funding and efficient capital returns.
- Whether Midea's financial performance from 2022-2024 provides sufficient capacity to support sustained ESG-oriented product investment.

Sub-Question

Does Midea generate enough internal profit and maintain efficient capital returns to fund long-term sustainable product investment?

Method & Data

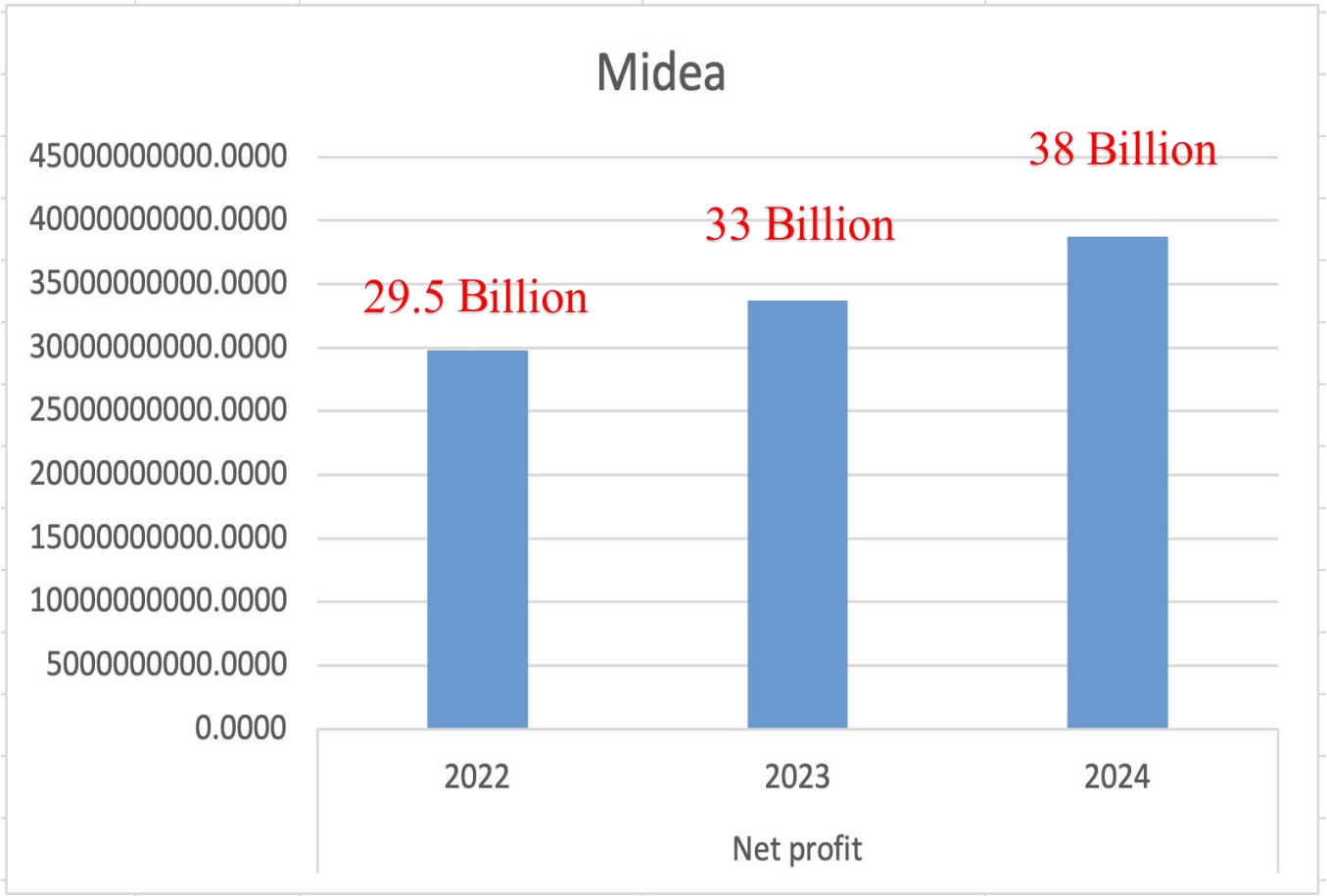
- Data Sources: Wind,Midea Annual Reports (2022–2024), ESG disclosures
- Metrics Used: Net Profit (standardized in 100m RMB), ROI (%)
- Tools: Excel (charts), ChatGPT (trend interpretation and narrative building)
- Cleaning Steps: Duplicate removal, missing-value check, and 3-year time series structuring

Why ROI + Net Profit Matter for Sustainability Investment

- Sustainable product investment is long-term, continuous, and capital-intensive
- Must rely on internal profit + capital return efficiency·
- ROI reflects how effectively capital is used
- Net profit shows how much internal funding Midea can generate each year

These two indicators can directly assess whether the company can sustainably support its long-term product line.

Net Profit Analysis (2022-2024)



Steady upward growth

Strong internal funding capacity

Supports long-term ESG R&D (energy-efficient appliances, heat pumps, AIoT)

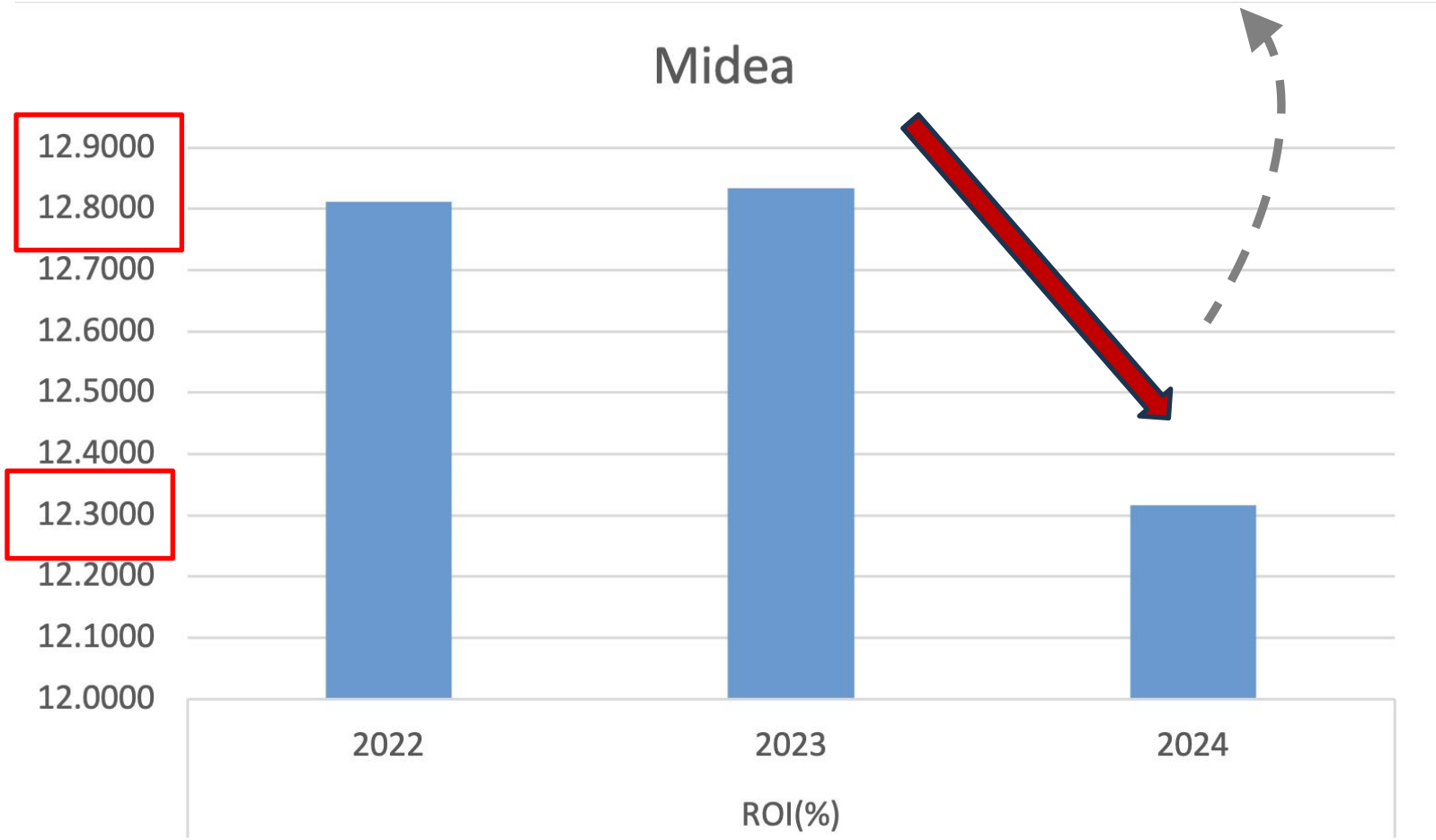
ROI Analysis (2022-2024)

A slight decline in 2024 due to higher capital spending and a larger asset base.

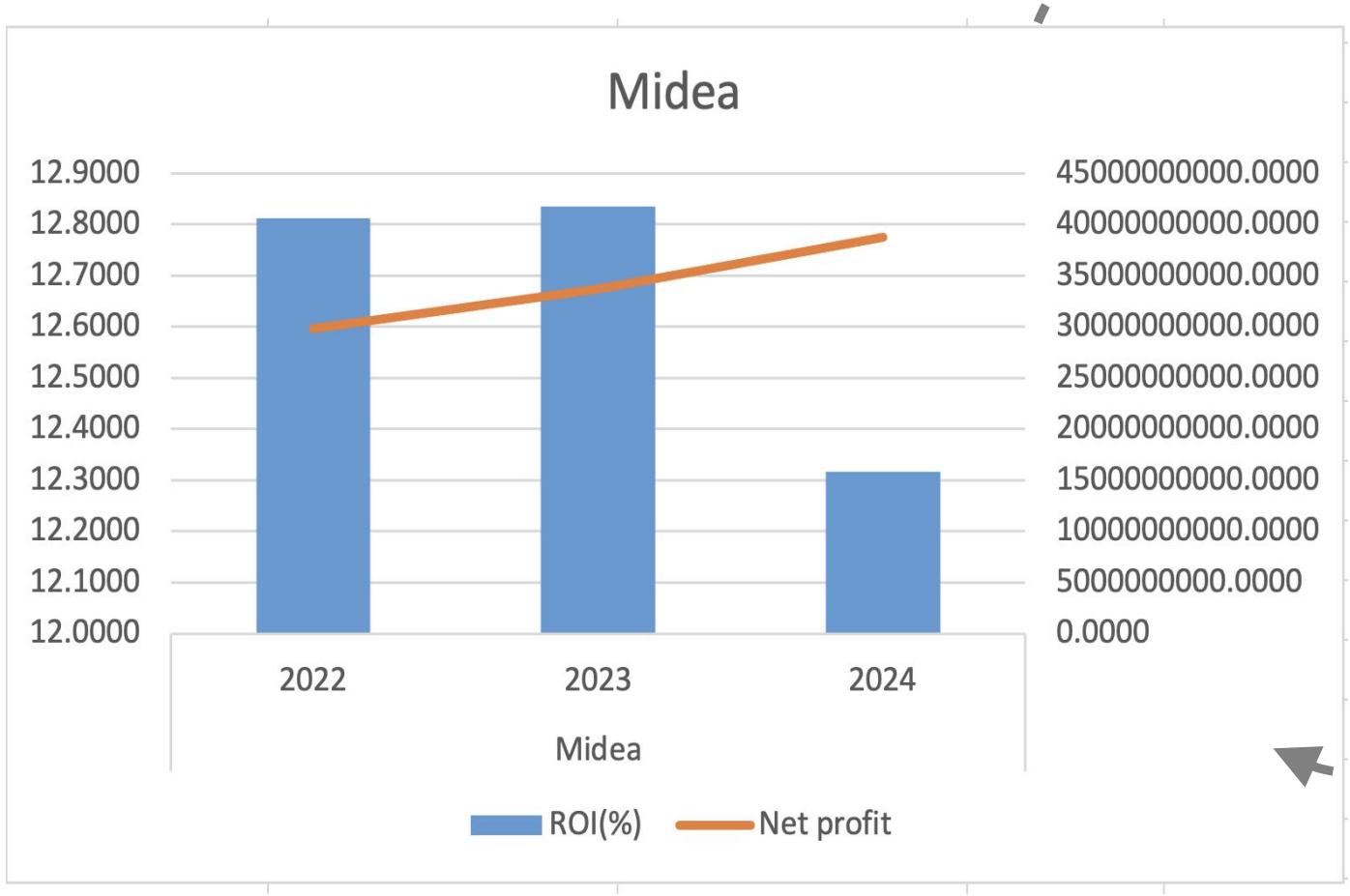
stayed stable at around 12%–13% over the three years.

consistently efficient capital utilization

Overall, the company maintained a strong level of investment efficiency.



Combined Insight: ROI vs Profitability



Net profit: a clear upward trend
ROI: increased from 2022 to 2023; declined slightly in 2024

Although Midea continued to improve its overall profitability, the return on investment did not rise at the same pace

Overall, the two indicators remain positively related net profit keeps increasing, but the marginal efficiency of capital investment weakened slightly in 2024.

To sustain green product investment, Midea must avoid ROI deterioration during capacity expansion

How Midea Can Strengthen Its Sustainable Product Investment Capacity

Treat sustainable product lines as long-term profit centers	Use lifecycle value, premium pricing, recyclable materials
Phase-in ESG investments to avoid ROI pressure	Staged capital deployment keeps ROI stable
Enhance digitalized green supply chain	Reduce carbon footprint & improve cost efficiency, strengthening ROI

Conclusion: Financial Foundation for Sustainable Product Development

Use lifecycle value, premium pricing, recyclable materials

- **Strong—and rising—internal profitability**
- **Stable and healthy ROI levels**
- **Clear ability to fund continued ESG product innovation**

Therefore, strong profitability and stable ROI are essential for supporting long-term sustainable product investment, and Midea currently demonstrates the financial capacity to do so.

Midea – GPM / NPR / ALR Analysis (2022–2024)

——Profitability and financial stability for Sustainable Investment

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Sub-question 2:

Do Midea's profitability levels and capital structure provide sufficient financial stability to invest in a new sustainable product line?



Process

Why do we care about these?

ALR : Shows financial stability
Indicates leverage and risk level
Supports capacity for new investment

GPM : Shows profit buffer
Indicates cost efficiency
Supports sustainable product development

NPR : Reflects earnings quality
Indicates internal funding strength
Enables long-term ESG investment

Do Midea's profitability levels and capital structure provide sufficient financial stability to invest in a new sustainable product line?

Data Source & Method

Data: Wind, Midea annual reports (2022–2024)

Indicators: GPM, NPR, ALR

Tools: Excel, ChatGPT

AI Usage

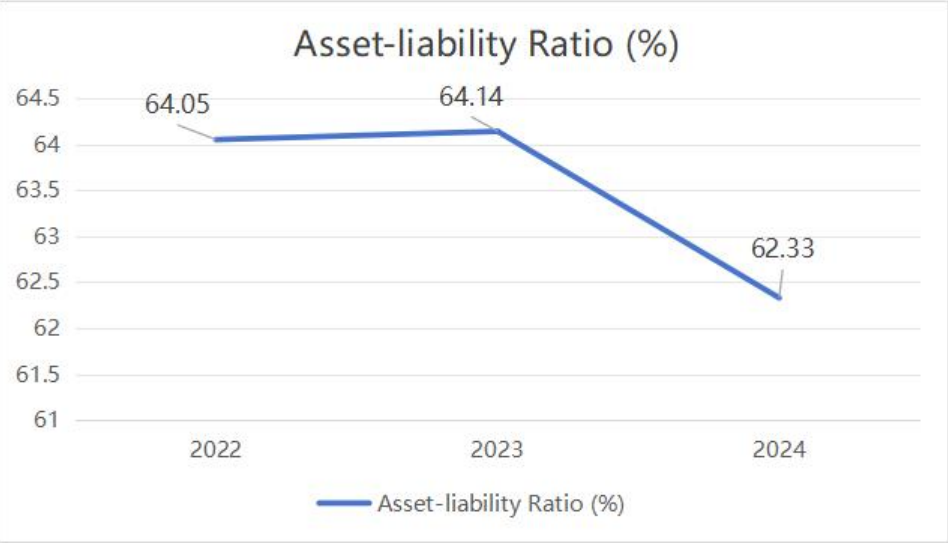
Data Interpretation

Visualization Support

Asset-Liability Ratio (2022-2024)

Period	2022/12/31	2023/12/31	2024/12/31
Asset-liability Ratio(%)	64.05	64.14	62.33
Gross Profit Margin(%)	24.12	26.33	26.18
Operating Profit Margin(%)	8.45	9.15	8.87
Net Profit Rate(%)	8.62	9.03	9.47
Return on Equity(%)	22.07	22.05	20.30
Return on Investment Capital(%)	18.89	19.87	16.35
Current Ratio	1.27	1.12	1.11
Quick Ratio	1.04	0.93	0.93

(Datas come from Wind)



Ratio is declining, indicating lower leverage and healthier capital structure.

Reduced financial risk improves Midea's ability to undertake new investment.

Easier access to financing if additional funds are needed.

Gross Profit Margin (2022-2024)

Period	2022/12/31	2023/12/31	2024/12/31
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Strong upward trend, reaching a high and stable level.

Indicates effective cost control and improved product mix.

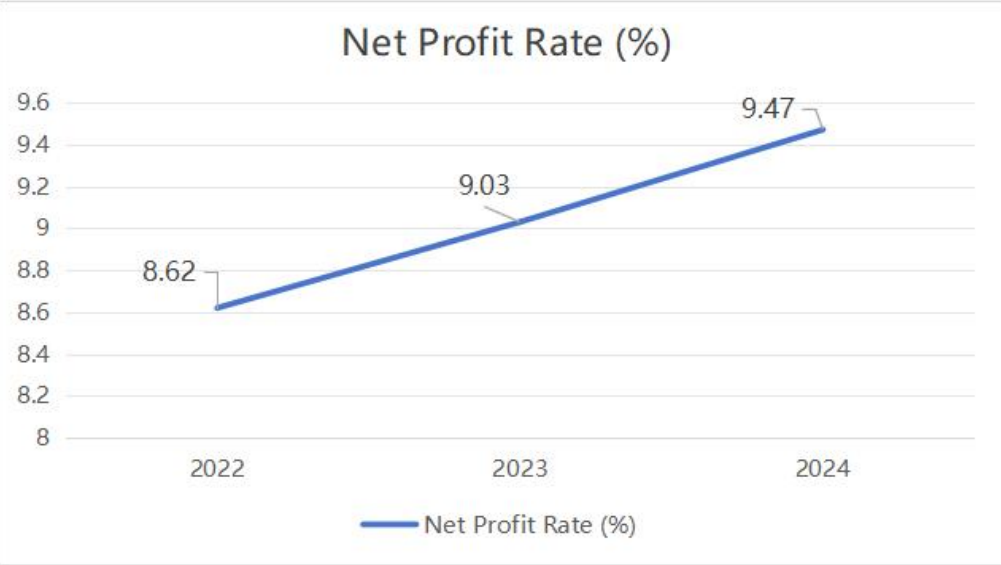
High GPM means Midea retains more profit to support:

- R&D spending
- Trial production
- Sustainable materials and technologies

Net Profit Rate (2022-2024)

Period	2022/12/31	2023/12/31	2024/12/31
Asset-liability Ratio(%)	64.05	64.14	62.33
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(Datas come from Wind)



Three-year upward trend.

Shows strong cost management and high-quality profitability.

Higher NPR provides stable internal funds for long-term strategic projects.

Combined Insight & Conclusion

Combined Insight

Midea's strong profitability and improving capital structure indicate solid earning power and financial stability. Together, these trends suggest the company is well-positioned to support investment in a new sustainable product line.

Final Conclusion

Overall, Midea demonstrates sufficient financial capacity to pursue the development and production of a new sustainable product. Its healthy margins, rising net income, and declining leverage provide a strong foundation for future sustainable investment.

Midea – AR Turnover Analysis (2022–2024)

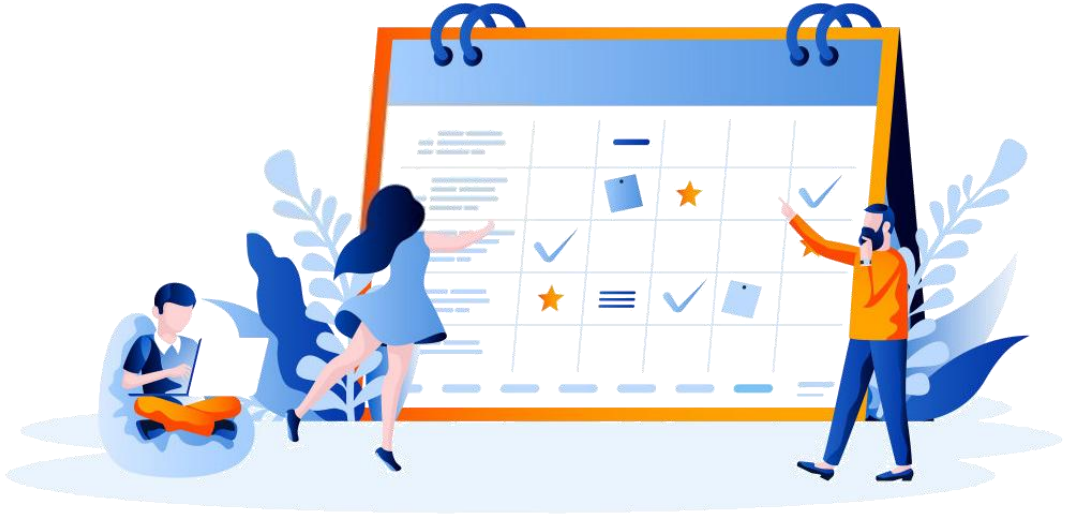
——Liquidity for Sustainable Investment

Ying Huang

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Sub-question 3:

Does Midea have sufficient liquidity and cash-recovery ability to support continuous investment in its sustainable product line?



Analysis Focus : AR Turnover

1. Why AR Turnover Matters?

- ✔ Indicates cash recovery speed
- ✔ Reflects internal liquidity
- ✔ Relevant for funding new sustainable product lines

2. Data Scope

- ✔ Firms: Midea, Gree, Haier
- ✔ Years: 2022–2024
- ✔ Indicators: Revenue & Net AR → AR Turnover

3. Data Source & Preparation

- ✔ Extracted from CSMAR
- ✔ Cleaned duplicated header rows & date formats
- ✔ Merged quarterly statements into annual measures

4. AI usage

- ✔ Data analysis
- ✔ Layout designing

Midea’s AR Turnover Trend

2022 *AR* = ***13.01***

- strong working-capital
- efficiency and fast cash conversion

2023 *AR* = ***12.17***

- slight decline
- turnover remains in a high-performing range

2024 *AR* = ***11.86***

- stable performance despite industry-wide slowdown
- liquidity predictable

Revenue, AR & Turnover Calculation (2022–2024)

Year	Revenue (¥ bn)	AR Begin (¥ bn)	AR End (¥ bn)	Avg AR (¥ bn)	AR
2022	3457.1	246.36	282.38	264.37	***13.01***
2023	3737.1	282.38	328.85	305.61	***12.17***
2024	4090.8	328.85	358.00	343.42	***11.86***

Interpretation:

Midea’s turnover declined gradually but remains within a strong and stable range, supporting predictable internal capital flow.

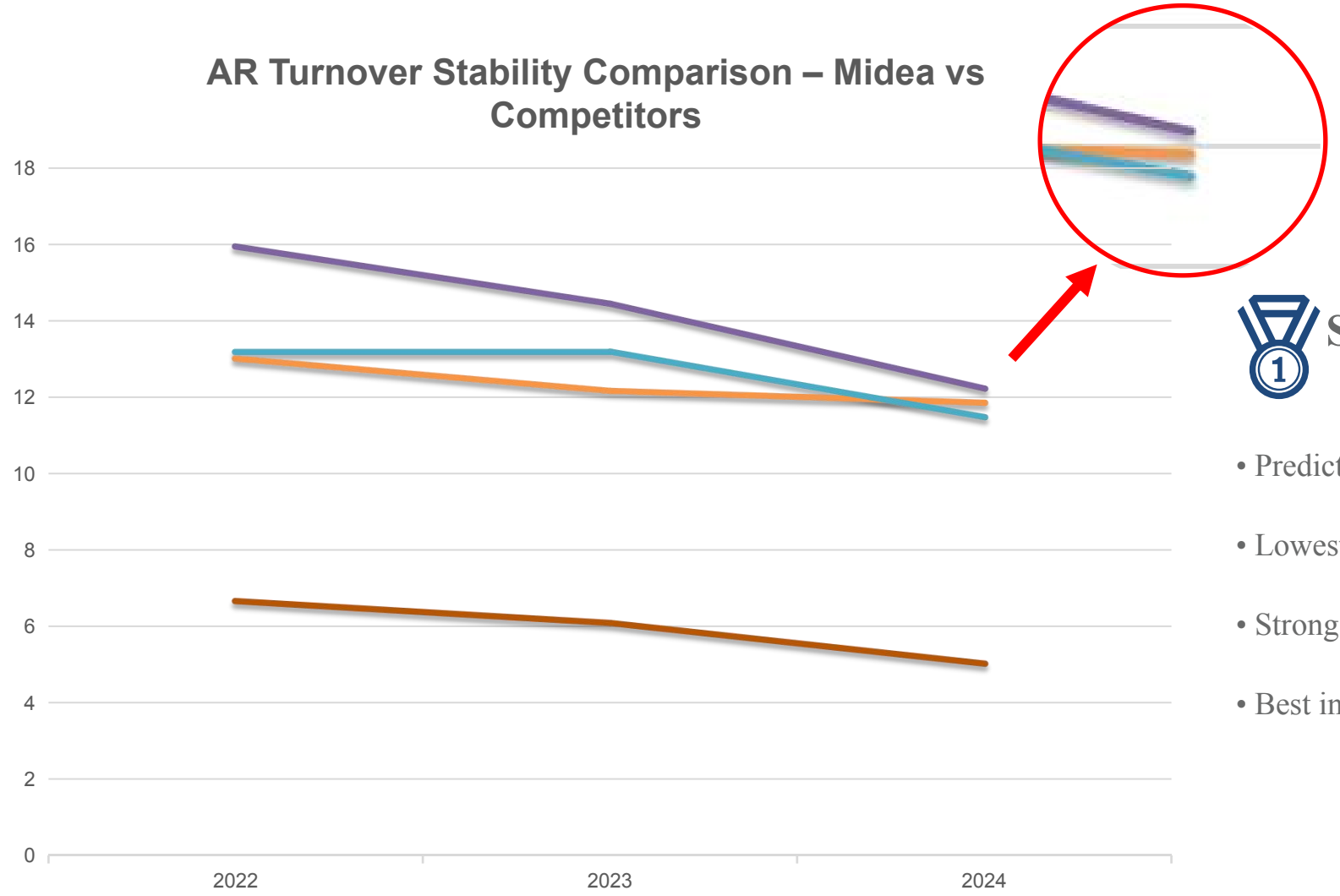
AR Turnover Benchmark - Midea vs Competitors

Midea (000333)
2022: 13.01
2023: 12.17
2024: 11.86

Gree (000651)
2022: 13.18
2023: 13.19
2024: 11.49

Haier (600690)
2022: 15.94
2023: 14.45
2024: 12.24

Average
2022: 6.64
2023: 6.08
2024: 5.04



Strength of Midea
-most stable trend

- Predictable cash inflow
- Lowest volatility risk
- Strong scale efficiency
- Best internal capital support

Why Midea's AR Efficiency Supports Investment Capacity



1. Most Stable Turnover Trend

- Smallest fluctuation among the three firms
- Predictable, sustainable cash inflows
- Supports green R&D & energy-saving innovation

2. Responsible AR Governance

- High turnover despite large scale
- Reflects disciplined, ESG-aligned management

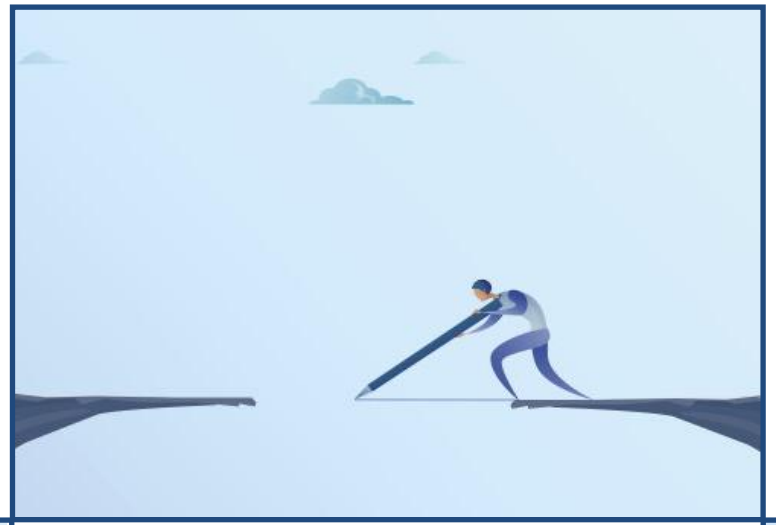
3. Lower Working-Capital & ESG Risk

- Resilient AR during industry slowdown
- Reduced liquidity pressure, fewer ESG-related risks

Recommendations Based on AR Insights

Strengthen AR Cycle Control

- Shorten credit terms for low-performing distributors
- Increase use of digital AR tracking tools



Maintain Turnover Stability as a Strategic Asset

- Focus on maintaining Midea's low volatility
- Protect liquidity to support sustainable product investment



Support Growth with ESG-linked Financing

- Explore green loans and green bonds
- Reduce reliance on internal working capital





Part Three - Conclusion

Overall Assessment & Strategic Recommendations

- Integrated Capital Assessment
- ESG Strategic Alignment
- Key Recommendations for Management

Jingwei Liu

Integrated Capital Capacity Assessment

Primary Question:

Does Midea have adequate capital resources to support investment in a new environmentally sustainable product line?

- ✔ **SQ1 — Investment Efficiency (ROI & Net Profit)**

  Steady profit growth + healthy ROI → strong internal funding capacity

- ✔ **SQ2 — Profitability & Capital Structure (GPM, NPR & ALR)**

  Higher margins + declining leverage → sufficient buffer for green-product costs

- ✔ **SQ3 — Liquidity Strength (AR Turnover)**

  Stable AR turnover vs. industry peers → reliable liquidity for long investment cycles



Midea is **financially capable** of supporting long-term sustainable investment.

ESG Strategic Alignment

AI Usage Statement:

AI tools were used only to assist with consolidating insights and locating relevant policy or industry references; all interpretation and recommendations were independently developed.

ESG Strategic Alignment:

1. 2030 Sustainability Goals

- Reduce GHG intensity
- 100% green supply chain
- 500 MW PV capacity

2. Green Manufacturing Progress

- 30+ green factories
- 1,700+ energy-saving projects
- Growing renewable electricity use

3. Green Financing Readiness

- USD 450M green bond
- ESG-linked financing access

Key Line: Sustainable product development is an **integral part** of Midea's long-term strategy.

(See Appendix 3 for green manufacturing & renewable energy progress;
See Appendix 4 for green bond allocation details.)

Recommendation 1 — Scale Up ESG-linked Financing

Why this matters:

- High upfront CAPEX for sustainable products
- Internal capital should not bear full pressure
- Midea already issued USD 450M green bond



How:

- Expand green bond programme
- Explore sustainability-linked loans (SLLs)
- Create an integral ESG investment pool

Benefit to management:

- Lower capital cost
- Stronger liquidity and financing flexibility
- Faster scaling of sustainable product investment

(See Appendix 4 for green bond allocation details.)

Recommendation 2 — Strengthen Green Supply Chain Partnerships

Why this matters:

- Green materials/components have higher cost
- Margin stability needed despite GPM improvement
- Aligns with 2030 green supply chain goal



How:

- Long-term contracts with green suppliers
- Co-develop low-carbon components
- Strengthen supplier ESG scoring and evaluation

Benefit to management:

- More predictable input costs
- More stable margins
- Lower ESG-related supply-chain risks

(See Appendix 5 for supplier carbon management practices;
Related circular economy initiatives shown in Appendix 6.)

Recommendation 3 — Enhance Digital AR & Liquidity Management

Why this matters:

- Long-cycle ESG investments increase liquidity pressure
- Midea's AR is stable but industry volatility persists
- Digital management strengthens liquidity resilience



How:

- Digital AR early-warning system
- Risk-based credit-term optimisation
- ESG CAPEX-aligned cashflow forecasting

Benefit to management:

- Lower liquidity risk
- More predictable cash recovery
- Stronger financial resilience

(See Appendix 7 for examples of Midea's digital carbon & smart management capabilities.)

Conclusion



- Midea has both the **financial capacity** and **strategic commitment** to develop a new sustainable product line.
- Our recommendations provide **practical**, **data-driven** pathways to allocate capital efficiently for this transition.
- Aligning **financial strength** with **long-term ESG goals** will enhance competitiveness and future readiness.

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Yang, Y., Chen, J., Lee, P.K.C. and Cheng, T.C.E. (2023). 'How to enhance the effects of the green supply chain management strategy in the organization: A diffusion process perspective'. *Transportation Research Part E: Logistics and Transportation Review*, 175, 103148. Available at: https://www.sciencedirect.com/science/article/pii/S1366554523001369 (Accessed: 3 December 2025).

Zhang, R., Li, Y. and Liu, Y. (2021). 'Green bond issuance and corporate cost of capital', *Pacific-Basin Finance Journal*, 69, 101626. Available at: https://doi.org/10.1016/j.pacfin.2021.101626 (Accessed: 3 December 2025).

Zhou, D. and Kythreotis, A. (2024). 'Why issue green bonds? Examining their dual impact on environmental protection and economic benefits'. *Humanities and Social Sciences Communications*, 11, 1761. Available at: https://www.nature.com/articles/s41599-024-04318-1 (Accessed: 3 December 2025).

Appendix - 1

	B	C	D	E	F	G	H	I	J	K	L	M	N	O	P	Q	R	S	T
1	FS_Combas	FS_Combas	FS_Combas	FS_Combas.A0(	FS_Comins.B001100000														
2	证券简称	统计截止日	报表类型	应收账款净额	营业总收入														
3	没有单位	没有单位	没有单位	元	元														
4	美的集团	2024-12-3	A	35798974000	4.09084E+11		000651	格力电器	2024-12-3	A	16831887388	1.90038E+11		600690	海尔智家	2024-12-3	A	26473001745	2.85981E+11
5	美的集团	2024-09-3	A	36924388000	3.2035E+11		000651	格力电器	2024-09-3	A	18588334820	1.47416E+11		600690	海尔智家	2024-09-3	A	21278009921	2.02971E+11
6	美的集团	2024-06-3	A	43859227000	2.18122E+11		000651	格力电器	2024-06-3	A	20964903715	1.00287E+11		600690	海尔智家	2024-06-3	A	23517845845	1.35623E+11
7	美的集团	2024-03-3	A	39977677000	1.06483E+11		000651	格力电器	2024-03-3	A	17568297269	36595551580		600690	海尔智家	2024-03-3	A	21669309573	68977513890
8	美的集团	2024-01-(	A	32884739000	3.7371E+11		000651	格力电器	2024-01-(	A	16099477118	2.05018E+11		600690	海尔智家	2024-01-(	A	22682921254	2.74205E+11
9	美的集团	2023-12-3	A	32884739000	3.7371E+11		000651	格力电器	2023-12-3	A	16099477118	2.05018E+11		600690	海尔智家	2023-12-3	A	20268099436	2.61428E+11
10	美的集团	2023-09-3	A	35752203000	2.9238E+11		000651	格力电器	2023-09-3	A	16666042952	1.55812E+11		600690	海尔智家	2023-09-3	A	20988684345	1.98657E+11
11	美的集团	2023-06-3	A	36454972000	1.97796E+11		000651	格力电器	2023-06-3	A	18579527200	99790091595		600690	海尔智家	2023-06-3	A	21742220596	1.31627E+11
12	美的集团	2023-03-3	A	35551438000	96636184000		000651	格力电器	2023-03-3	A	17367184069	35692251273		600690	海尔智家	2023-03-3	A	20036439030	65066477649
13	美的集团	2023-01-(	A	28237973000	3.45709E+11		000651	格力电器	2023-01-(	A	14824742623	1.90151E+11		600690	海尔智家	2023-01-(	A	15886748812	2.43579E+11
14	美的集团	2022-12-3	A	28237973000	3.45709E+11		000651	格力电器	2022-12-3	A	14824742623	1.90151E+11		600690	海尔智家	2022-12-3	A	15913691537	2.43514E+11
15	美的集团	2022-09-3	A	31431007000	2.71775E+11		000651	格力电器	2022-09-3	A	13693471263	1.48344E+11		600690	海尔智家	2022-09-3	A	18127157926	1.84749E+11
16	美的集团	2022-06-3	A	29586420000	1.83663E+11		000651	格力电器	2022-06-3	A	16626326266	95806559360		600690	海尔智家	2022-06-3	A	17920101869	1.21858E+11
17	美的集团	2022-03-3	A	29667624000	90938820000		000651	格力电器	2022-03-3	A	14817031839	35534628961		600690	海尔智家	2022-03-3	A	16073565476	60250997851
18	美的集团	2022-01-(	A	24636440000	3.43361E+11		000651	格力电器	2022-01-(	A	13840898803	1.89654E+11		600690	海尔智家	2022-01-(	A	14625260856	2.27106E+11
19																			

AR Calculation data for Media, Gree & Haier (CSMAR)

Appendix - 2

	Stkcd	ShortNa	Accper	Typrep	Source	Indcd1	F040205C
3	没有单位	没有单位	没有单位	没有单位	没有单位		没有单位
1044	920496	许昌智能	2022-12-3	A	0	C38	1.561573
1045	920496	许昌智能	2023-12-3	A	0	C38	1.495009
1046	920496	许昌智能	2024-12-3	A	0	C38	1.332961
1047	920523	德瑞锂电	2022-12-3	A	0	C38	4.97385
1048	920523	德瑞锂电	2023-12-3	A	0	C38	4.646503
1049	920523	德瑞锂电	2024-12-3	A	0	C38	4.805094
1050	920593	鼎智科技	2022-12-3	A	0	C38	10.146183
1051	920593	鼎智科技	2023-12-3	A	0	C38	9.08881
1052	920593	鼎智科技	2024-12-3	A	0	C38	6.526842
1053	920627	力王股份	2022-12-3	A	0	C38	3.795583
1054	920627	力王股份	2023-12-3	A	0	C38	3.471166
1055	920627	力王股份	2024-12-3	A	0	C38	3.675298
1056	920639	晨光电缆	2022-12-3	A	0	C38	2.9676
1057	920639	晨光电缆	2023-12-3	A	0	C38	2.711062
1058	920639	晨光电缆	2024-12-3	A	0	C38	2.486482
1059	920682	球冠电缆	2022-12-3	A	0	C38	3.255932
1060	920682	球冠电缆	2023-12-3	A	0	C38	3.422188
1061	920682	球冠电缆	2024-12-3	A	0	C38	3.45684
1062	920718	合肥高科	2022-12-3	A	0	C38	6.082376
1063	920718	合肥高科	2023-12-3	A	0	C38	8.756005
1064	920718	合肥高科	2024-12-3	A	0	C38	8.084849
1065	920768	拾比佰	2022-12-3	A	0	C33	4.778916
1066	920768	拾比佰	2023-12-3	A	0	C38	5.943138
1067	920768	拾比佰	2024-12-3	A	0	C38	7.115578
1068	920770	艾能聚	2022-12-3	A	0	C38	9.129124
1069	920770	艾能聚	2023-12-3	A	0	C38	5.343243
1071	920926	鸿智科技	2022-12-3	A	0	C38	4.595798
1072	920926	鸿智科技	2023-12-3	A	0	C38	4.479363
1073	920926	鸿智科技	2024-12-3	A	0	C38	4.948846
1074	920985	海泰新能	2022-12-3	A	0	C38	30.169694
1075	920985	海泰新能	2023-12-3	A	0	C38	8.610138
1076	920985	海泰新能	2024-12-3	A	0	C38	4.044798
1077							

Average AR Calculation data (CSMAR)

002860	星帅尔	2024-12-3	A	0	C38	2.847593
002865	钧达股份	2023-12-3	A	0	C38	660.431539
002865	钧达股份	2024-12-3	A	0	C38	523.150528
002879	长缆科技	2022-12-3	A	0	C38	1.714251
002879	长缆科技	2023-12-3	A	0	C38	1.837497

688226	威腾电气	2023-12-3	A	0	C38	2.364859
688226	威腾电气	2024-12-3	A	0	C38	2.348263
688303	大全能源	2022-12-3	A	0	C38	
688303	大全能源	2023-12-3	A	0	C38	
688303	大全能源	2024-12-3	A	0	C38	110915.1
688330	宏力达	2022-12-3	A	0	C38	1.637756
688330	宏力达	2023-12-3	A	0	C38	1.131735

Abnormal data (merged)

Appendix - 3 Green Manufacturing & Renewable energy progress

Source: Midea Group ESG Report 2023, p. 6, p.19

During the Reporting Period

We implemented 1,875 energy conservation projects and invested more than RMB 132 million in energy saving and emission reduction.

Protect the Blue Planet



Invested over RMB **132** million in energy saving and emission reduction, promoting **1,875** energy-saving projects

The installed capacity of distributed photovoltaic power generation systems reached **280** MW, generating more than **220** million kWh of electricity, with the green electricity purchase of **7.439** million kWh

28 factories certified with the National Green Factory Certification; **35** factories certified with ISO 50001 Energy Management System Certification; **37** factories certified with ISO 14001 Environmental Management System Certification

Appendix - 4 Green Bond Proceeds Allocation

Source: Midea Group Annual Report 2024, p.166; ESG Report 2023, p.24

I. ENTERPRISE BONDS

The Company did not have any enterprise bonds during the Reporting Period.

II. CORPORATE BONDS

Bond name	Bond abbreviation	Bond code	Issue date	Value date	Maturity date	Outstanding balance	Interest rate	Payment method of principal and interest	Trading venue
Midea Investment Development Company Limited (美的投資發展有限公司) 2.88% Secured Notes 2027	MIDEAZ 2.88% 02/24/2027	ISIN XS2432130453	2022-02-16	2022-02-24	2027-02-24	US$450 million	2.88%	Interest payable on a half-year basis, with the principal and interest will be paid on the maturity date	Hong Kong Stock Exchange

III. NON-FINANCIAL CORPORATE DEBT FINANCING INSTRUMENTS

The Company had no debt financing instruments of non-financial enterprises during the Reporting Period.

IV. CONVERTIBLE BONDS

The Company had no convertible bonds during the Reporting Period.

Make Sustained Efforts for Green and Low-Carbon Development

Midea Group issued its first green bonds of USD 450 million in 2022 to support the "Green Strategy". By the end of the Reporting Period, 100 % of the proceeds of the green bonds had been used for eligible green assets under Midea's green financing framework. The table below shows how the proceeds were allocated to eligible green assets.

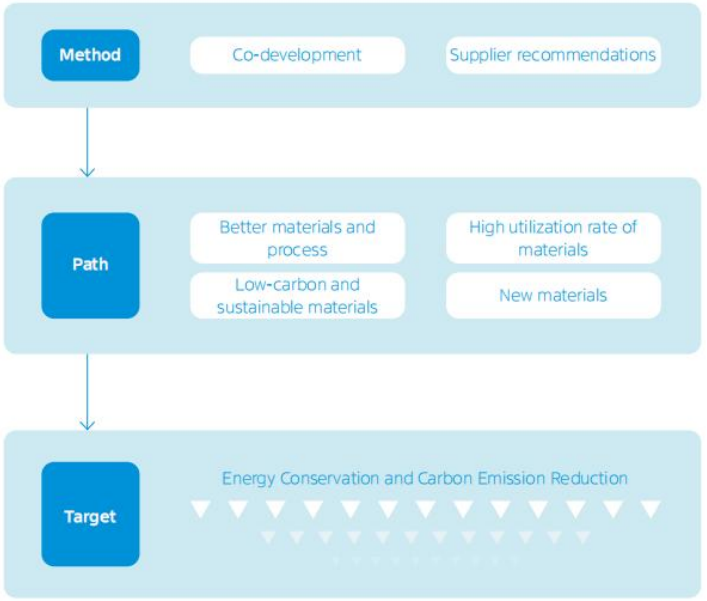
Eligible Green Asset Class	Amount of Proceeds Allocated		Environmental Benefits of Eligible Green Asset
	RMB (million)	Equivalent USD (million)	
Ecologically efficient product design and development	1,505	212	In 2023, Midea Air Conditioning once again achieved a breakthrough in R290 technology. The Efficlima new product adopts the environmentally friendly natural refrigerant R290, which is fluorine-free, chlorine-free, and low-carbon. According to calculations, compared to models using R32 refrigerant with the same power, this product can reduce emissions by approximately 0.447 tons of carbon dioxide equivalent. Calculated based on the carbon sequestration of 0.015 tons per tree per year, this is equivalent to the annual carbon dioxide absorption of approximately 30 trees.
Transformation of energy- and ecology- efficient manufacturing and process	997	141	We are comprehensively advancing the construction of a green manufacturing system. By the end of the Reporting Period, 28 factories had obtained National Green Factory Certification, and 9 factories were recognized as "National Green Supply Chain Management Model Enterprise". All manufacturing factories have improved their energy management systems and obtained ISO 50001 certification. By the end of the Reporting Period, 35 factories had obtained ISO 50001 Energy Management System Certification.
Operation of photovoltaic power plants and construction of renewable energy projects	92	13	We continue to expand our presence in clean energy. During the Reporting Period, the Group's distributed photovoltaic power generation system generated over 220 million kWh of electricity, with an installed capacity of 280 MW, which was equivalent to a reduction of 158,947 tons of carbon emissions, and the amount of green electricity purchased was 7.439 million kWh.
R&D, production of core components of new energy vehicles and project construction	594	84	The construction of the Anqing manufacturing base for new energy vehicle components has been completed, and products such as compressors and valve islands have achieved mass production in the factory area.
Total	3,188	450	/

Appendix - 5 Supplier Carbon Management & Green Procurement

Source: Midea Group ESG Report 2022, p.15, p.22

Energy Conservation and Carbon Emission Reduction

To reduce product energy consumption and improve its product environmental friendliness, Midea actively works together with suppliers to innovate new materials and new processes and open up energy-saving and emission-reduction paths such as applying environmentally friendly materials and consuming less energy in material distribution.



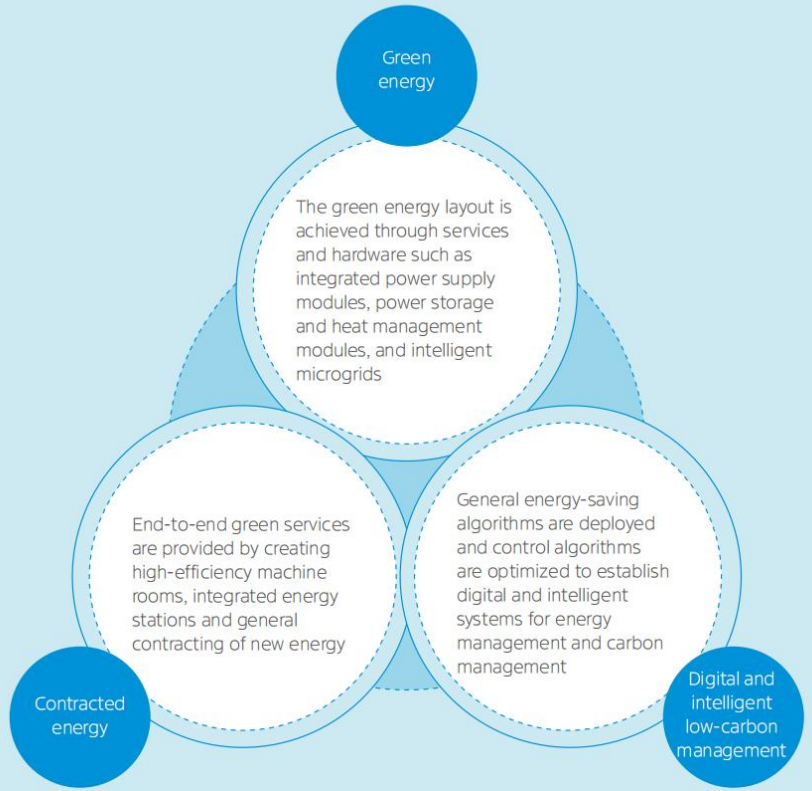
Guided by carbon peak and neutrality policies, Midea includes supplier carbon emission management into its green procurement system and organizes suppliers to carry out carbon emission checks to strengthen the carbon emission management of its supply chain. For major bulk suppliers under strong state control, such as steel and petrochemical suppliers, Midea has conducted a carbon emission data check to respond to the policies. For non-bulk suppliers, Midea has prepared the Supplier Carbon Emission Check (Template) to help the supply chain teams of the entities in supplier carbon emission checks.

In 2022, Midea collected and checked the carbon emission data of 4,324 suppliers, including direct GHG emissions (emissions from stationary combustion, emissions from mobile combustion, direct fugitive emissions, etc.) and indirect GHG emissions from energy (emissions from the use of purchased electricity, heat, cold and compressed air).

Green Services

Focusing on green energy and smart buildings in its green services, Midea provides solutions integrating "buildings, intelligence, and energy" for the group and its customers. With the technical paths of green energy, contracted energy, and low carbon development based on digital intelligence, the Company has created an integrated green service model with product technology innovation as the basis, platform digital capabilities as the hub, and green consulting services as the top-level design.

Midea's Three Technical Paths for Green Services



Appendix - 6 Circular Economy & Closed-loop Recycling Initiatives

Source: Midea Group ESG Report 2022, p. 20; ESG Report 2023, p.67

Midea Green Action

Midea continues to promote its trade-in services and vigorously conducts "Midea Green Action" publicity to guide consumers to develop a reasonable sense to adopt and replace items, and to recycle and dispose of used home appliances in a formal and environmentally friendly way. The "Midea Green Action" covers promotional activities such as green trade-in coupons, cross-category trade-in and 365-day replacement, providing purchase subsidies for users requiring trade-in services. The Company carried out the "Midea Green Action" Roadshow nationwide in 2022. With the digital promotion of the event, the number of registered users for used appliance recycling exceeded 400,000, and the number of online trade-in appliances exceeded 350,000 units.



"Midea Green Action and Green Trade-in" 2022



Poster of Midea Green Action

Midea Joins Hands with Green Recycling to Build a Closed-Loop Recycling Industrial Mode for Waste Household Appliances

Midea Group and Jiangxi Green Recycling Co., Ltd. jointly conduct the recycling, dismantling and processing of waste electrical and electronic products. By establishing a closed-loop recycling system for additive materials, we reduce the use of low-value and difficult-to-recycle materials in household appliances, improve manufacturing processes conducive to recycling, and increase the efficiency of resource recovery. In 2023, the closed-loop recycling industrial mode was selected as one of the first excellent cases of standardized recycling and reuse of electrical and electronic products, and received relevant honorary credentials.



Honorary Credential

Appendix - 7 Digital Carbon & Smart Management Projects

In 2022, Midea launched the "MBT Green and Low-Carbon" service that covers green and low-carbon consulting, digital intelligence operation products, and energy conservation and emission reduction projects, including business such as zero-carbon consulting, energy-saving transformation consulting and smart carbon management system. Midea strives to work with the customers in building a sustainable smart space with low carbon and intelligence as the core.

Source: Midea Group Annual Report 2022, p.76; ESG Report 2022, p.21

Midea Building Technologies, with the mission of "co-building sustainable smart space" and the vision "to be a global leader in building technology", has transformed from a commercial air conditioning product supplier to an integrated solution service provider for intelligent building ecosystems. Currently, Midea Building Technologies has six major product manufacturing bases and seven R&D centres worldwide, with a sales network covering global markets. It has formed the largest and most comprehensive professional smart building product matrix and service network in China. At the "Make iBuilding come TRUE" building technology conference held in early 2022, Midea Building Technologies released the "iBUILDING, Midea Building Digital Platform" to empower hardware products and promote business transformation. The platform serves as a digital foundation and integrates hardware equipment such as MDV multi-unit central air conditioning, K WING chiller central air conditioning, LINVOL smart elevators, KONG building automation, and business services such as carbon consulting, carbon management, and contract energy management. This integration forms four industry solutions for smart low-carbon, smart rail transit, smart hospitals, and smart industrial parks.



Thank you for your attention.

We welcome your questions and feedback.

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